

Practice Exam

100 multiple-choice questions · open-book level (hard)

Instructions

- 100 questions, grouped by chapter for easy reference. In the real exam the order is randomized.
- Most questions have **one** correct answer. Questions needing more are marked **(Select TWO)** or **(Select THREE)**.
- No marks are deducted for wrong answers, so never leave a question blank.
- Some stems ask for the **EXCEPT / INCORRECT** option — read carefully.
- Full worked answers with chapter/section references start after question 100.

Chapter 1 — Markets vs Organizations

1. The 'economic problem', as defined in the notes, refers specifically to:
 - A. The tendency of competitive markets to drive profits to zero in the long run
 - B. A situation in which needs cannot be met because of the scarcity of natural, human and man-made resources
 - C. The inability of managers to act in the interest of shareholders
 - D. The systematic errors people make when judging under uncertainty
2. 'Progressive division of labour' is linked to which outcome, and what is its main organizational limit?
 - A. Higher productivity, limited only by consumer demand
 - B. Higher productivity, but insufficient collaboration on new challenges, requiring more coordination
 - C. Lower transaction costs, limited by asset specificity
 - D. Higher utility, limited by bounded rationality
3. Which pairing of coordinating mechanism to institution is correct?
 - A. Market → authority (non-price); Organization → price system
 - B. Market → price system (no personal interaction); Organization → authority (non-price)
 - C. Both rely primarily on the price system
 - D. Market → standardization of norms; Organization → mutual adjustment
4. Which of the following are *informal* institutions? **(Select TWO)**
 - A. Written constitutions
 - B. Norms of behaviour
 - C. Government regulations
 - D. Conventions / internally imposed rules of conduct
 - E. Statutory laws
5. The *environment* of markets and organizations performs all of the following roles EXCEPT:

- A. Providing the conditions for organizations/markets to be created
- B. Shaping organizations/markets by exerting pressure
- C. Acting as a selection mechanism determining which can succeed
- D. Eliminating bounded rationality among economic actors

Chapter 2 — Markets

6. At market equilibrium:
- A. Quantity demanded exceeds quantity supplied, pushing prices up
 - B. The quantity demanded equals the quantity supplied at the market price
 - C. Producers maximize utility and consumers maximize profit
 - D. There are, by definition, no transaction costs
7. A profit-maximizing firm's production function makes profit depend on:
- A. Only the market price
 - B. The quantity produced (Q), the capital (K) and the labour (L) used
 - C. The utility derived by consumers
 - D. The degree of asset specificity
8. The 'paradox of profits' states that:
- A. Monopolists always earn supernormal profits
 - B. In a competitive market, although each firm tries to maximize profit, no firm can profit in the long run
 - C. Profits rise with the number of competitors
 - D. Profit maximization is impossible under bounded rationality
9. Which conditions are required for a *perfect market*? (Select TWO)
- A. A few large buyers/sellers who set the price
 - B. Homogeneous product
 - C. Zero transaction costs
 - D. High entry barriers protecting incumbents
 - E. Asymmetric information favouring sellers
10. When consumer demand increases, the adjustment toward a new equilibrium is:
- A. Producers cut output to raise prices
 - B. Consumers buy more → producers produce more → a new market equilibrium
 - C. The price mechanism fails and authority is needed
 - D. The product becomes non-rival

Chapter 3 — Organisations

11. Which Mintzberg component 'joins the strategic apex to the operating core'?
- A. Technostructure
 - B. Support staff
 - C. Middle line
 - D. Ideology
12. The technostructure (analysts, accountants, engineers) primarily:
- A. Provides the basic operating work

- B. Uses analytical techniques to achieve standardization and efficiency
- C. Carries out direct supervision and strategy
- D. Indirectly supports the operating core (e.g. legal, PR)

13. A hospital that coordinates mainly through *standardization of skills*, giving trained specialists in the operating core high discretion, is which type?

- A. Machine
- B. Professional
- C. Diversified
- D. Missionary

14. Match the organization type to its primary coordinating mechanism. Which pairing is INCORRECT?

- A. Machine → standardization of work processes
- B. Diversified → standardization of outputs
- C. Innovative → direct supervision
- D. Missionary → standardization of norms / ideology

15. In the *diversified* organization:

- A. Divisions have full decision-making autonomy, HQ manages all divisions, and coordination is by standardization of outputs
- B. The entrepreneur coordinates by direct supervision
- C. Coordination is achieved by standardization of skills
- D. Decision-making is distributed among staff experts via mutual adjustment

16. Which are examples of *internal markets* inside an organization? (Select TWO)

- A. Internal capital market (corporate mgmt funds the highest-return divisions)
- B. The external market for corporate control
- C. Internal labour market (divisions compete for the best people)
- D. An open ascending auction with external bidders

17. Which feature is NOT listed as a driver of a *platform organization's* success?

- A. Scalability through low-cost replication
- B. Direct/indirect network effects with positive feedback loops
- C. First-mover advantage
- D. Standardization of skills among the operating core

Chapter 4 — Information

18. Adverse selection is best characterized as:

- A. An ex post (hidden action) problem
- B. An ex ante (hidden information) problem that can preclude a transaction
- C. A coordination failure between two equal players
- D. A non-rival good problem

19. Moral hazard is:

- A. An ex ante problem solved by signaling
- B. An ex post (hidden action) problem where a protected party takes a risk whose cost falls on the other
- C. Identical to the winner's curse

D. A property of perfect markets

20. Distinguish signaling from screening:

- A. Signaling: the uninformed party induces disclosure; Screening: the informed party discloses
- B. Signaling: the informed (1st) party reveals private info; Screening: the 2nd party tempts the 1st to reveal it
- C. Both refer to vertical integration
- D. Both are market failures with no solution

21. A supermarket uncertain about future fruit quality signs a contract specifying prices contingent on actual delivered quality. This is:

- A. A contingent claims contract — a *market* solution to information uncertainty
- B. Vertical integration — an organizational solution
- C. A joint venture — an organizational solution to asymmetry
- D. Screening

22. Information is an *economic good* because it is: (Select TWO)

- A. Rival in consumption
- B. Non-rival (usable by many at once)
- C. Costly to reproduce
- D. Low in reproduction cost

23. The classic used-car ('lemons') situation, where the seller knows quality and the buyer does not before the deal, is an instance of:

- A. Moral hazard
- B. Adverse selection (hidden information, ex ante)
- C. The endowment effect
- D. The free-rider problem

Chapter 5 — Game theory

24. A Nash equilibrium is defined as:

- A. The combination of each player's dominant strategy
- B. A state where each player makes an optimal choice given the other player's choice
- C. The outcome that maximizes total welfare
- D. Any outcome of a sequential game

25. In a *sequential* coordination game, the notes state that:

- A. Both players must move simultaneously
- B. The first player to move has an advantage
- C. There is never a Nash equilibrium
- D. The winner's curse always arises

26. The principle of 'looking ahead and reasoning backwards through the game tree' applies to:

- A. Single-stage auctions
- B. The prisoner's dilemma only
- C. Sequential / entry games where you anticipate the rival's response
- D. The endowment effect

27. For a threat to deter entry it must be:

- A. Secret and reversible
- B. Observable and credible (showing commitment)
- C. Profitable only in the short run
- D. Backed by collusion

28. Which statements about auctions are correct? (Select TWO)

- A. In an open auction, bids are observable and private info is revealed during competition
- B. In a sealed-bid auction the winner's curse is a potential problem for the buyer
- C. Sealed-bid auctions reveal all private information
- D. An open auction guarantees the seller the highest possible price

29. The guidance on the *best coordination solution* by number of players is:

- A. Two players → standardization; many players → mutual adjustment
- B. Two players → mutual adjustment; many players → standardization / direct supervision
- C. Always use direct supervision
- D. Always use the price mechanism

Chapter 6 — Econs / Humans

30. The 'econ' vs 'human' distinction is:

- A. Econ = boundedly rational; human = fully rational
- B. Econ (microeconomics) = rational/selfish; human (behavioural) = not always rational/selfish
- C. Both are always rational
- D. 'Human' refers only to managers

31. Relying too heavily on an early piece of information when deciding is:

- A. Availability
- B. Anchoring
- C. Representativeness
- D. Framing

32. Valuing a good you already own more than your willingness to pay for it before owning it is:

- A. Mental accounting
- B. The endowment effect
- C. Framing
- D. The free-rider problem

33. Prospect theory holds that: (Select TWO)

- A. People evaluate gambles in terms of final wealth levels
- B. People evaluate gambles in terms of *changes* in wealth
- C. People hate losing more than they love gaining (loss aversion)
- D. Sensitivity falls to zero for large gains/losses

34. Basing a prediction on the class of cases an individual seems to belong to, jumping to conclusions, is:

- A. Representativeness
- B. Anchoring
- C. Mental accounting

35. The social-vs-economic-domain point is that:

- A. Offering payment is always beneficial
- B. Payment fits the economic domain but may not fit the social domain; moving issues across domains is not necessarily beneficial
- C. Social and economic domains are identical
- D. Nudging only works in the economic domain

Chapter 7 — Behavioural Theory

36. Behavioural theory views the firm as:

- A. A holistic profit-maximizing entity
- B. A coalition of participants (stakeholders), each boundedly rational with individual goals
- C. A nexus of contracts with irrelevant ownership
- D. A peer group with no hierarchy

37. A participant continues to contribute to the organization as long as:

- A. Contribution $\geq$ inducement
- B. Inducement $\geq$ contribution
- C. Profit is maximized
- D. The aspiration level is zero

38. Organizational goals emerge from bargaining; a member's bargaining power depends on:

- A. Seniority alone
- B. How unique the contribution offered to the coalition is
- C. The number of shares held
- D. The level of asset specificity

39. Organizational choice is described as:

- A. Optimizing over all alternatives simultaneously (full rationality)
- B. Evaluating alternatives one at a time, seeking a solution that satisfies aspiration levels and is acceptable to stakeholders (satisficing)
- C. Always selecting the profit-maximizing option
- D. Random selection under uncertainty

40. 'Requiring teams to go through checklists to reduce errors' is which method of improving rationality?

- A. Nudging
- B. Encouraging dissent
- C. Routines
- D. Debiasing training

41. Per §7.4, two people in the same firm with the *same* information may still:

- A. Always reach the same decision
- B. Hold different expectations that influence their decision-making
- C. Be perfectly rational
- D. Eliminate all bias

Chapter 8 — Agency Theory

42. Agency theory concerns:
- A. The relationship between two competing firms
 - B. The relationship between a principal and an agent who takes decisions for the principal
 - C. Coordination between equal peers
 - D. Auctions with many bidders
43. Which *markets* discipline managers against on-the-job consumption? (Select THREE)
- A. Stock market
 - B. Market for corporate control
 - C. Market for managerial labour
 - D. The endowment market
 - E. The data room
44. When a manager-owner sells part of her shares to an outside investor, the notes predict she will:
- A. Consume less on the job
 - B. Engage in *more* on-the-job consumption
 - C. Always increase firm value
 - D. Eliminate the agency problem
45. Under asymmetric information with a *risk-averse* agent, the optimal contract is:
- A. A forcing contract
 - B. A wage contract (fixed salary independent of pay-off; principal bears risk)
 - C. A rent contract (agent gets pay-off minus a fixed amount)
 - D. No contract is possible
46. A *rent contract* (agent receives the pay-off minus a fixed amount) is appropriate when the agent is:
- A. Risk-averse
 - B. Risk-neutral
 - C. Boundedly rational only
 - D. The principal
47. In the 'solution to moral hazard in teams' view, the manager is essential because:
- A. Ownership is irrelevant
 - B. Team production can create free-riding (shirking); the manager supervises to produce extra output
 - C. The firm is just a nexus of contracts
 - D. Markets always outperform firms
48. In a large public corporation, the notes distinguish:
- A. Decision management (diffused among managers) from decision control (exercised by the board for shareholders)
 - B. Decision management exercised solely by shareholders
 - C. No separation of functions
 - D. Control held by the operating core

Chapter 9 — Transaction Cost Economics

49. TCE says the choice between market and organization is fundamentally:

- A. A matter of maximizing utility
- B. A matter of cost minimization (transaction costs + production costs)
- C. Determined only by asset specificity
- D. Independent of bounded rationality

50. The two behavioural assumptions underlying TCE are: (Select TWO)

- A. Bounded rationality
- B. Perfect information
- C. Opportunism
- D. Risk neutrality

51. The 'fundamental transformation' refers to:

- A. A move from organization to market coordination
- B. A large-numbers exchange turning into a small-numbers exchange because one supplier gains superiority
- C. Digitization lowering transaction costs
- D. Conversion of a peer group into a hierarchy

52. Asset specificity means an asset:

- A. Can be redeployed to other uses at no loss
- B. Cannot be redeployed to an alternative use without a significant loss of value (high specificity → high market transaction cost)
- C. Is always intangible
- D. Is owned jointly by a peer group

53. The three critical dimensions of transactions are:

- A. Price, quantity, quality
- B. Asset specificity, uncertainty/complexity, frequency
- C. Signaling, screening, monitoring
- D. Bounded rationality, opportunism, atmosphere

54. Advantages of a *peer group* over working independently include: (Select TWO)

- A. Economies of scale (joint ownership, shared information)
- B. Elimination of all shirking regardless of size
- C. Risk-bearing and associational gains
- D. A boss with the right to adjust pay

55. The key advantage of a *simple hierarchy* over a peer group is that:

- A. It eliminates the price mechanism
- B. A boss monitors employees (reducing shirking) and decision-making/communication is more economical
- C. Risk is shared more widely
- D. It removes asset specificity

56. Compared with the U-form, the M-form enterprise:

- A. Suffers more cumulative control loss because information crosses many layers
- B. Splits the firm into quasi-autonomous (usually product) divisions, with corporate staff advising + auditing and top managers focused on strategy

- C. Has no corporate staff
- D. Coordinates purely by mutual adjustment

57. Trust in TCE is described such that:

- A. Personal trust matters in impersonal exchanges
- B. Personal trust reduces opportunism inside firms; impersonal trust (institutions/reputation) matters in impersonal exchanges
- C. Trust is irrelevant once contracts exist
- D. Only impersonal trust reduces shirking

Chapter 10 — Competitive Strategy

58. Corporate vs competitive strategy:

- A. Corporate = how to compete in one industry; Competitive = where to compete
- B. Corporate = where a multi-business firm competes (portfolio); Competitive = how a single business unit competes
- C. They are synonyms
- D. Both are purely descriptive

59. The S-C-P paradigm holds that:

- A. Conduct determines structure, which determines performance
- B. Industry structure → firm conduct → industry performance
- C. Performance determines structure
- D. Strategy is irrelevant to performance

60. Under Porter's five forces, the collective strength of the forces determines profit potential such that:

- A. Stronger forces → weaker competition → higher profits
- B. Weaker forces → weaker competition → higher profit potential
- C. Forces have no effect on profitability
- D. Only rivalry matters

61. A *supplier* group is powerful when: (Select TWO)

- A. It is dominated by a few companies
- B. Its product is standard and undifferentiated
- C. It poses a credible threat of forward integration
- D. The industry is its single most important customer

62. A *buyer* group is powerful when, among others:

- A. It purchases in small volumes
- B. The products it buys are differentiated and unique
- C. It buys standard/undifferentiated products that form a significant fraction of its cost
- D. The product is critical to the quality of the buyer's own product

63. Cost leadership vs differentiation:

- A. Cost leadership relies on brand recognition and high advertising
- B. Cost leadership = lowest unit cost (via scale/experience, aided by large market share); differentiation = a product perceived as more valuable, allowing a higher price
- C. Differentiation requires the lowest possible unit cost

D. They are the same strategy

64. The VRIN criteria require resources to be:

- A. Valuable, rare, inimitable, non-substitutable — and intangible resources are more likely to satisfy them
- B. Visible, replicable, internal, networked
- C. Valuable but easily imitated
- D. Tangible to be sustainable

65. 'Isolating mechanisms' in the dynamic-capabilities discussion:

- A. Prevent other firms from competing away the profit a firm earns from its capability
- B. Are the same as economies of scale
- C. Refer to first-mover pricing
- D. Eliminate tacit knowledge

Chapter 11 — Corporate Strategy

66. 'A supplies components to B (or vice versa)' describes which corporate-strategy type?

- A. Vertical integration
- B. Horizontal multi-nationalization
- C. Related diversification
- D. Conglomerate diversification

67. 'A and B operate in the same industry but in different countries' describes:

- A. Vertical integration
- B. Horizontal multi-nationalization
- C. Related diversification
- D. Conglomerate diversification

68. In a *conglomerate*, for debt financing, diversification across unrelated industries:

- A. Increases the chance of bankruptcy
- B. Reduces the chance of bankruptcy
- C. Has no effect on transaction costs
- D. Requires economies of scope

69. Why might corporate HQ allocate capital better than outside investors?

- A. It has less information than the market
- B. Business-unit managers share confidential information with HQ that they would not reveal to external investors, and HQ may have specialized knowledge
- C. It avoids the principal-agent problem entirely
- D. It eliminates asset specificity

70. Related diversification is especially motivated by *economies of scope*, which exist when:

- A. Producing two goods jointly is *less* costly than producing them separately
- B. A single product is mass-produced at scale
- C. Two unrelated businesses are combined
- D. The price mechanism fails entirely

71. When economies of scope depend on *intangible* assets (know-how, brand), the notes argue:

- A. Market transactions are clearly preferred

- B. HQ (the corporate form) is preferred because it facilitates cooperation between businesses
- C. A peer group is optimal
- D. Vertical integration is never viable

72. In the vertical-integration decision matrix, which case most clearly calls for *vertical integration*?

- A. Asset specificity low on both sides, low uncertainty (→ spot contracts)
- B. Mutually high asset specificity, low uncertainty (→ long-term contract)
- C. High asset specificity on both sides with high uncertainty/complexity
- D. Low asset specificity, high uncertainty, low frequency

Chapter 14 — Mergers & Acquisitions

73. A *merger* (vs an acquisition) is defined as:

- A. One firm taking a controlling interest in another while both survive
- B. A combination of firms in which all but one cease to exist and the combined entity continues under the surviving firm's name
- C. Any purchase of selected assets
- D. A joint venture

74. Backward vs forward vertical integration through M&A:

- A. Backward = buying a former customer; Forward = buying a former supplier
- B. Backward = buying a former supplier; Forward = buying a former customer
- C. Both mean buying a competitor
- D. Both are conglomerate mergers

75. *Event studies* (corporate finance) differ from *outcome studies* (industrial organization) in that:

- A. Event studies compare pre/post profits; outcome studies look at announcement share prices
- B. Event studies examine abnormal share-price returns at announcement; outcome studies compare pre- and post-M&A performance
- C. They are identical
- D. Neither studies performance

76. The empirical M&A findings reported are: **(Select TWO)**

- A. Shareholders of the acquired (target) firm gain
- B. Shareholders of the acquiring firm earn large permanent gains
- C. Acquiring-firm shareholders see an initial loss then break even
- D. The net change in combined market value is negative

77. The main purpose of organizing a *sale by auction* in M&A is to:

- A. Conceal the seller's private information
- B. Force bidders to reveal their true preferences/valuations and reduce information asymmetry
- C. Guarantee the buyer avoids the winner's curse
- D. Eliminate due diligence

78. Order the auction stages: (1) due diligence in a data room; (2) information memorandum + indicative bid; (3) binding bid + SPA; (4) exclusivity with the most sensitive info.

- A. 2 → 1 → 3 → 4
- B. 1 → 2 → 3 → 4

C. 2 → 3 → 1 → 4

D. 4 → 3 → 2 → 1

79. The *winner's curse* is explained partly by managerial:

A. Risk aversion

B. Overconfidence/hubris, leading to value-destroying acquisitions

C. Loss aversion

D. Satisficing

80. Hidden-information solution: with a *single* interested buyer vs *multiple* interested buyers, the notes recommend:

A. Single → IPO; Multiple → joint venture

B. Single → joint venture; Multiple → Initial Public Offering

C. Both → break-up fee

D. Both → MAC clause

81. A *Material Adverse Change (MAC)* clause lets the buyer walk away when:

A. Any exogenous, generic-nature risk materializes

B. An endogenous (moral-hazard) risk materializes, but not a purely exogenous one

C. The seller's share price rises

D. The auction is sealed-bid

82. A *break-up fee* is primarily a solution to:

A. Adverse selection in IPOs

B. Hold-up from high asset specificity + opportunism — a credible commitment obliging the party that walks away to pay

C. The free-rider problem in teams

D. Bounded rationality

Chapter 15 — Hybrid Forms

83. Hybrid forms are *most efficient* (lowest transaction costs) when asset specificity is:

A. Very low

B. Intermediate

C. Very high

D. Irrelevant

84. In co-makership the traded assets have high asset specificity, so why do suppliers accept the vulnerability? **(Select TWO)**

A. Long-term contracts protect against opportunism

B. Opportunism never occurs in practice

C. The buyer's benefits from future cooperation outweigh the gains from opportunism, and opportunism harms reputation

D. Asset specificity is actually zero

85. A joint venture (JV) is the preferred form when, among others:

A. Assets are easily transacted on the market at low cost

B. The opportunity needs assets from two firms, those assets are intangible (know-how, contacts) and

costly to trade due to opportunism, and vertical integration is not viable

- C. One firm can simply buy the other's tangible assets cheaply
- D. There is no need for mutual trust

86. An *associative/horizontal* business group differs from a *hierarchical/vertical* one in that:

- A. It has a central holding company controlling all firms
- B. It has no central holding company — a loose confederation linked by ties, coordinated by mutual adjustment + standardization of norms
- C. It is controlled by a single investor via a pyramid
- D. It uses only direct supervision

87. Mechanisms that let an investor control firms worth more than their wealth, separating ownership and control, include: **(Select TWO)**

- A. Pyramids
- B. Co-makemship
- C. Dual-class equity / differential voting rights
- D. Information memoranda

88. *Tunneling vs propping*:

- A. Tunneling = supporting weak firms; Propping = extracting value
- B. Tunneling = transferring value from low-cash-flow-right firms to high-cash-flow-right firms; Propping = controlling owners support struggling firms for their own benefit
- C. Both mean issuing new equity
- D. Both reduce the controlling owner's benefits

89. The *administrative efficiency thesis* for franchising holds that:

- A. Franchising exists only because the franchisor lacks capital/managers
- B. Franchising is a more efficient governance structure than pure hierarchy or pure market — letting owners monitor operators, reduce shirking/free-riding and preserve the brand
- C. Franchising eliminates standardization
- D. Franchising is always inferior to company ownership

90. Informal networks are coordinated mainly by:

- A. The price mechanism alone
- B. Trust, mutual adjustment and standardization of norms (firms still transact on the market); important where dispute-settling institutions are weak
- C. A pyramid holding company
- D. Standardization of outputs by HQ

Chapter 16 — Corporate Governance

91. Corporate governance is defined as:

- A. The system by which business corporations are directed and controlled
- B. The price mechanism for shares
- C. A synonym for competitive strategy
- D. The market for intermediate goods

92. The *free-cash-flow* agency problem is that:

- A. Managers always return all free cash flow to shareholders

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- B.** Free cash flow should be returned to shareholders, but the CEO may wish to retain it to diversify into other businesses
 - C.** Shareholders are more risk-averse than the CEO
 - D.** Managers have an infinite time horizon
93. The 'different time horizons' problem can bias managers toward:
- A.** Long-term NPV-positive projects
 - B.** Projects with high short-term accounting returns even if NPV is negative
 - C.** Returning cash to shareholders
 - D.** Reducing on-the-job consumption
94. Offering the manager an incentive contract is a:
- A.** Market solution to reduce information asymmetry
 - B.** Organizational solution to align interests
 - C.** External monitoring mechanism
 - D.** Market solution to align interests
95. Giving a manager *too many* shares can cause:
- A.** Managerial entrenchment
 - B.** The free-rider problem
 - C.** Adverse selection
 - D.** The winner's curse
96. *Relative performance evaluation* rewards managers based on:
- A.** Absolute net profit only
 - B.** Performance measured against a reference group of similar companies (filtering out external factors)
 - C.** The number of shares outstanding
 - D.** Tenure
97. In the *two-tier* board system, the supervisory board:
- A.** Consists of executive directors who run the firm
 - B.** Consists exclusively of outside members, is elected by the employees, and monitors/advises the executive board
 - C.** Is the same as a one-tier board
 - D.** Reports to the CEO
98. For auditors to be effective monitors, the notes stress that they must:
- A.** Also do consulting for the firms they audit
 - B.** Be independent — no consulting for audited firms — and report to boards/audit committees rather than to CEOs
 - C.** Report directly to the CEO
 - D.** Hold large equity stakes
99. Which markets align managers' interests with shareholders'? (Select TWO)
- A.** Market for corporate control (takeover threat)
 - B.** Product market (forces cost minimization)
 - C.** The endowment market
 - D.** The data room
100. In a *network-oriented* (vs market-oriented) governance system:

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- A. Shareholding is widely dispersed and managers are disciplined mainly by hostile takeovers
 - B. Listed firms have one or a few large blockholders who sit on the board and discipline managers through monitoring
 - C. Insider-trading laws are extremely strict
 - D. No shareholder holds a controlling block

Answer Key & Explanations

Correct option(s) in bold, with the reasoning and the note reference.

Chapter 1 — Markets vs Organizations

1. **B** — Ch1 §1.1: the economic problem stems from scarcity; efficiency means resources are allocated optimally.
2. **B** — Ch1 §1.2–1.3: division of labour raises productivity; the limit is reduced collaboration, which demands more coordination.
3. **B** — Ch1 §1.5: the market coordinates via the price system; organizations via authority. Choose the less costly; organizations handle information problems better.
4. **B, D** — Ch1 §1.7: formal = written laws/constitutions/regulations; informal = norms of behaviour and conventions.
5. **D** — Ch1 §1.7: the environment provides conditions, exerts pressure and selects; it does not remove bounded rationality.

Chapter 2 — Markets

6. **B** — Ch2 §2.2: equilibrium is where quantity demanded = quantity supplied at the market price.
7. **B** — Ch2 §2.4: profit depends on Q, K and L; the firm chooses the optimal K/L mix to maximize profit.
8. **B** — Ch2 §2.6: in a competitive market profit-seeking by all firms competes profits away in the long run.
9. **B, C** — Ch2 §2.7: many small buyers/sellers, free entry/exit, homogeneous product, perfect information, zero transaction costs.
10. **B** — Ch2 §2.2: higher demand leads consumers to buy more and producers to supply more until a new equilibrium is reached.

Chapter 3 — Organisations

11. **C** — Ch3 §3.1: the middle line (branch managers) links the strategic apex to the operating core.
12. **B** — Ch3 §3.1: the technostructure standardizes for efficiency; indirect support (legal/PR) is the support staff.
13. **B** — Ch3 §3.3: the professional organization relies on standardization of skills.
14. **C** — Ch3 §3.3: the innovative organization coordinates by mutual adjustment, not direct supervision.
15. **A** — Ch3 §3.3: diversified = autonomous divisions serving different markets, coordinated by standardized outputs.
16. **A, C** — Ch3 §3.4: internal markets for goods, capital and labour operate within the organization.
17. **D** — Ch3 §3.8: scalability, network effects, first-mover advantage and high valuation drive platforms.

Chapter 4 — Information

18. **B** — Ch4 §4.2: adverse selection = hidden information, an ex ante problem.
19. **B** — Ch4 §4.3: moral hazard = hidden action, an ex post problem.
20. **B** — Ch4 §4.2: signaling = informed party reveals; screening = uninformed party induces revelation.
21. **A** — Ch4 §4.1: for uncertainty, the market solution is a contingent claims contract; the organizational solution would be vertical integration.
22. **B, D** — Ch4 §4.5: information is non-rival with low reproduction cost.
23. **B** — Ch4 §4.2: pre-contract private information about quality is adverse selection.

Chapter 5 — Game theory

- 24. **B** — Ch5 §5.2: Nash equilibrium = each player optimizes given the other's choice (dominant-strategy equilibrium is a special case).
- 25. **B** — Ch5 §5.3: in sequential games the first mover has an advantage.
- 26. **C** — Ch5 §5.4: entry/sequential games require anticipating the rival and reasoning backwards.
- 27. **B** — Ch5 §5.4: credible threats must be observable and demonstrate commitment.
- 28. **A, B** — Ch5 §5.6: open auctions reveal info; sealed-bid auctions risk the winner's curse (buyer) and collusion.
- 29. **B** — Ch5 §5.3: two players coordinate by mutual adjustment; many players need standardization/direct supervision.

Chapter 6 — Econs / Humans

- 30. **B** — Ch6 §6.1: microeconomics assumes a rational/selfish 'econ'; behavioural economics studies the 'human'.
- 31. **B** — Ch6 §6.4: anchoring = over-reliance on an early piece of information.
- 32. **B** — Ch6 §6.4: the endowment effect over-values goods already held.
- 33. **B, C** — Ch6 §6.5: people evaluate changes in wealth and are loss-averse; sensitivity rises with the size of gain/loss.
- 34. **A** — Ch6 §6.4: representativeness judges by the class rather than the individual case.
- 35. **B** — Ch6 §6.2: what is correct in the economic domain (payment) can be inappropriate in the social domain.

Chapter 7 — Behavioural Theory

- 36. **B** — Ch7 §7.1–7.2: the firm is a coalition of participants with their own goals.
- 37. **B** — Ch7 §7.2: participants contribute while inducements $\geq$ contributions.
- 38. **B** — Ch7 §7.3: bargaining power rises with the uniqueness of one's contribution.
- 39. **B** — Ch7 §7.5: firms satisfice — they search until an acceptable, aspiration-satisfying option is found.
- 40. **C** — Ch7 §7.6: routines (e.g. checklists) reduce errors and improve effectiveness.
- 41. **B** — Ch7 §7.4: identical information can still yield different expectations and decisions.

Chapter 8 — Agency Theory

- 42. **B** — Ch8 §8.1: agency theory studies principal–agent relations (owner–manager, etc.).
- 43. **A, B, C** — Ch8 §8.2: the stock market, the market for corporate control, the managerial-labour market and the product market discipline managers.
- 44. **B** — Ch8 §8.3: selling shares increases on-the-job consumption; monitoring then reduces it, and the manager captures the value gain.
- 45. **B** — Ch8 §8.6: risk-averse agent + risk-bearing principal $\rightarrow$ fixed wage contract.
- 46. **B** — Ch8 §8.6: a risk-neutral agent can bear risk via a rent contract.
- 47. **B** — Ch8 §8.4 / theories-of-the-firm: the supervising manager curbs team shirking and enables extra output.
- 48. **A** — Ch8 §8.5: decision management is diffused; decision control rests with the board on behalf of shareholders.

Chapter 9 — Transaction Cost Economics

- 49. **B** — Ch9 §9.1: allocate a transaction to market or firm to minimize transaction + production costs.
- 50. **A, C** — Ch9 §9.1–9.2: humans are boundedly rational and sometimes opportunistic.

- 51. B** — Ch9 §9.2: ex post, large-numbers competition can collapse into small-numbers bargaining.
- 52. B** — Ch9 §9.3: specific assets lose value if redeployed; high specificity raises market transaction costs.
- 53. B** — Ch9 §9.3: transaction costs depend on asset specificity, uncertainty/complexity and frequency.
- 54. A, C** — Ch9 §9.4: peer groups gain scale, risk-bearing and associational advantages; shirking becomes a problem only in large groups.
- 55. B** — Ch9 §9.5: a boss monitors to reduce shirking and economizes on communication/decisions.
- 56. B** — Ch9 §9.6: cumulative control loss is the U-form weakness; the M-form uses quasi-autonomous divisions + corporate staff.
- 57. B** — Ch9 §9.9: personal trust works inside firms/personal exchanges; impersonal trust governs impersonal exchanges.

Chapter 10 — Competitive Strategy

- 58. B** — Ch10 §10.1: corporate strategy = where (portfolio); competitive strategy = how a business unit competes.
- 59. B** — Ch10 §10.2: structure shapes conduct, which determines performance.
- 60. B** — Ch10 §10.2: the weaker the forces, the weaker the competition and the higher the profit potential.
- 61. A, C** — Ch10 §10.2: powerful suppliers are concentrated, sell differentiated products and can threaten forward integration.
- 62. C** — Ch10 §10.2: buyers are strong when buying large volumes of standard goods that are a big share of their costs.
- 63. B** — Ch10 §10.4: cost leadership minimizes unit cost; differentiation commands a price premium for perceived value.
- 64. A** — Ch10 §10.5: VRIN resources confer sustainable advantage; intangibles tend to meet VRIN more than tangibles.
- 65. A** — Ch10 §10.6: isolating mechanisms protect a capability's profits from imitation.

Chapter 11 — Corporate Strategy

- 66. A** — Ch11 §11.1: a supplier–customer link between A and B is vertical integration.
- 67. B** — Ch11 §11.1: same industry, different countries = horizontal multi-nationalization.
- 68. B** — Ch11 §11.2: spreading across industries lowers bankruptcy risk, reducing financing transaction costs.
- 69. B** — Ch11 §11.2: HQ's information advantage and specialized knowledge improve internal capital allocation.
- 70. A** — Ch11 §11.3: economies of scope = cheaper joint production of two goods than separate production.
- 71. B** — Ch11 §11.3: intangibles are costly to trade, so the corporate form (HQ) is preferred.
- 72. C** — Ch11 §11.5: high mutual asset specificity + high uncertainty → vertical integration.

Chapter 14 — Mergers & Acquisitions

- 73. B** — Ch14 §14.1: a merger absorbs all but one firm; an acquisition is taking a controlling interest.
- 74. B** — Ch14 §14.1: backward = buy a supplier; forward = buy a customer.
- 75. B** — Ch14 §14.3: event studies = abnormal returns at announcement; outcome studies = pre/post performance.
- 76. A, C** — Ch14 §14.3: targets gain, acquirers initially lose then break even, and the combined value change is positive.
- 77. B** — Ch14 §14.5: auctions make bidders disclose valuations and reduce information asymmetry.
- 78. A** — Ch14 §14.5: first stage IM + indicative bid → second stage due diligence/data room → binding bid/SPA

→ third-stage exclusivity.

79. B — Ch14 §14.6: hubris/overconfidence makes winners overpay and destroy value.

80. B — Ch14 §14.7: a single buyer → JV to equalize information; multiple buyers → IPO.

81. B — Ch14 §14.8: MAC clauses cover endogenous (moral hazard) risk, not generic exogenous risk.

82. B — Ch14 §14.9: a break-up fee is a credible commitment against hold-up under high asset specificity.

Chapter 15 — Hybrid Forms

83. B — Ch15 §15.1: hybrids minimize transaction costs at intermediate levels of asset specificity.

84. A, C — Ch15 §15.2: long-term contracts + future-cooperation benefits + reputation effects protect the supplier.

85. B — Ch15 §15.3: JVs pool intangible assets that the market would price too highly, when integration is not viable.

86. B — Ch15 §15.4: associative groups are loose confederations; hierarchical groups are controlled by a single investor (often a pyramid).

87. A, C — Ch15 §15.4: pyramids and dual-class shares separate control from cash-flow rights.

88. B — Ch15 §15.4: tunneling extracts value toward high-cash-flow-right firms; propping is negative tunneling (support).

89. B — Ch15 §15.6: the administrative-efficiency thesis stresses governance efficiency; option A is the resource-scarcity thesis.

90. B — Ch15 §15.5: informal networks rest on trust/interlocking directorates and matter where institutions are underdeveloped.

Chapter 16 — Corporate Governance

91. A — Ch16 §16.1: governance is the system by which corporations are directed and controlled.

92. B — Ch16 §16.1: free cash flow ought to be paid out, but managers prefer to retain it for empire-building.

93. B — Ch16 §16.1: managers' limited tenure biases them to short-term accounting gains over long-term value.

94. B — Ch16 §16.1: incentive contracts are the organizational solution for aligning interests; markets for labour/control are the market solution.

95. A — Ch16 §16.3: excessive share ownership can entrench managers.

96. B — Ch16 §16.3: benchmarking against a peer group strips out macro/external factors managers do not control.

97. B — Ch16 §16.4: the supervisory board (outside members, elected by employees) monitors and advises the executive board.

98. B — Ch16 §16.5: auditor independence requires no consulting for audited firms and reporting to the board/audit committee.

99. A, B — Ch16 §16.6: the product, managerial-labour, stock and corporate-control markets all align managers with shareholders.

100. B — Ch16 §16.7: network-oriented systems feature concentrated blockholders/monitoring; the other options describe market-oriented systems.